

Ep. 367: Brendan Greeley on The Almighty Dollar, 500 Years of History, and the Eurodollar Market

Podcast: Macro hive

AI Executive Summary

Core Thesis The episode argues that the US dollar is not a product of sudden American invention or modern "fiat" magic, but rather the result of a 500-year evolutionary process rooted in international silver coins (the Bohemian *Thaler*). The author contends that "monetary sovereignty" is a historical misconception; instead, the history of the dollar is a continuous struggle to transition from a fragmented system of foreign coins and local colonial credits to a regulated national system of bank-led credit creation. Ultimately, the modern dollar represents an ongoing tension between domestic regulation and the decentralized, offshore creation of credit (such as the Eurodollar market).

Key Arguments & Data * **The Linguistic and Material Origin of the Dollar:** The "dollar" originates from the German *Thal* (from Jochimstaller, Bohemia). It began as an international silver coin used for large-scale trade in Europe and the Americas long before the United States existed. *

Absence of Initial Monetary Sovereignty: The early American colonies did not possess a sovereign currency; they adapted existing foreign standards (Spanish pieces of eight) and utilized local "bookkeeping money," such as bills of exchange, promissory notes, and ledgers to manage debt. *

The Constitutional Shift in Money Creation: The US Constitution effectively ended the era of state-issued "bills of credit" (which were seen as inflationary/populist), transferring the power to create circulating currency from state legislatures to private banks. *

The Civil War as a Catalyst for Nationalization: The Civil War significantly centralized the American monetary system by imposing taxes on state bank notes, effectively forcing the shift toward national bank charters and federal debt-backed currency. *

The Myth of "Fiat" Money: The author rejects the term "fiat" as misleading because it implies money is created by decree/magic. Instead, he points to "endogenous credit theory" – the reality that money is created by commercial banks through the issuance of new loans and deposits. *

The Rise of the Eurodollar Market: The 1960s development of offshore dollar markets in London represents a loss of US monetary control. This market allows banks outside the US to create brand-new dollar-denominated credit, complicating the Federal Reserve's ability

to manage domestic monetary policy. * **Stablecoins as Modern Private Liabilities:** The author views stablecoins not as a technological revolution, but as a return to the historical pattern of unregulated private "banks" creating liabilities. He predicts a future crisis where the state will eventually have to socialize the costs of these failed private arrangements.

Actionable Takeaways

- * **Re-evaluate Monetary Analysis:** When analyzing inflation or liquidity, look beyond central bank "money printing" (Quantitative Easing) and focus on commercial bank credit creation and the expansion/contraction of bank balance sheets.
- * **Monitor Regulatory Arbitrage:** Investors should watch for shifts in regulatory status (specifically in the crypto and stablecoin sectors), as historical precedents suggest that when private entities are allowed to act like banks without deposit insurance, systemic crises follow.
- * **Recognize Global Interconnectivity:** Do not treat the US dollar as a purely domestic instrument; monitor offshore liquidity markets (like Eurodollars) to understand the true bounds of US monetary sovereignty and potential inflationary pressures.
- * **Adopt Long-Term Historical Perspective:** Avoid "doomster" or "innovation" narratives that focus only on recent history (post-1971); instead, look at long-cycle patterns of how international trade standards eventually become nationalized and then decentralized again.

Full Transcript

Welcome to the MacroHive Conversations podcast. I'm Bilal Hafiz, head of strategy at MacroHive. Before we dive in, a quick update. Following MacroHive's acquisition by the BGC Group, BGC has launched a new regulated business called MacroHive Markets. For the first time, onboarded clients can also access execution services via MacroHive Markets. This new workflow will allow macro institutional investors to benefit from strategy and quant insights, alongside access to global liquidity. Please contact Andrew Simon or Gail Mojibriyan

Bloomberg or click the link in the description below for more details on McRide markets and its service offering. Now onto this episode's guest, Brendan Greeley. Brendan has spent 20 years as a journalist covering economic and monetary policy. He was a US economic editor at The Financial Times and continues to write a regular column there. Before that, he was a staff writer for Bloomberg Business Week and The Economist, as well as an anchor and correspondent for Bloomberg Television. He has also written for The New York Times, The New York Times Magazine and the Wall Street Journal Europe and received the New York Press Club Award for Special Event Reporting. Brendan graduated from Tulane University with honors in German. He's currently completing a PhD in financial history at Princeton University. Now onto our conversation. Greetings and welcome, Brendan. It's really good to have you on the podcast show.

Thank you. It's great to be here. Now, I recently came across your book, The Almighty Dollar. It's an incredibly interesting book, very different to what I imagined it would be. Lots of facts and historical context. I wasn't quite expecting. So that's all congratulations. Interesting. Thank you. What did you expect? I thought it'll be much more about recent history, like post-Bretton Woods. I mean, obviously in the subtitle, it does say like hundreds of years and so on. But I kind of expected it to become 1800s to now at most. And then with a focus on, you know, like a Doomster type, you know, book around like a sort of ironic book at the end of the dollar and so on. But instead, you kind of look at the complete history that went much further back than I thought, you know, what I knew about and so quite a lot more

context than I expected. Yeah, there's some received wisdom about how we think about money.

Yeah. I think, and as I began writing the book, I sort of, you know, luckily I didn't do this on purpose. I wish I could tell you that I were smart enough to know that this was going on. But there were three books about the dollar that came out in the last year. Paul Bluestine, Ken Rogoff, and arguably Barry Eichengren, although he wrote about dominant currencies. Yeah. And all of them, except for Barry's book, really focused on very recent history. Paul Bluestine gave a pretty brief summary of the history of the dollar. And I think I was gonna write one of those books too. When I started looking at this book, I thought I'll start it in 1971 at the end of the gold standard. Then I thought, well, I need to explain why it is the dollar still had value when we took it off the gold standard because most of us are used to this explanation where money was based on gold and then it wasn't and it's kind of magic now. And then I arrived in 1913 with a chartering of the Fed. Then I thought, well, we need to explain why a Fed was necessary at the time.

And then you end up with this problem where you arrive at 1776 and then you need an explanation for why it is that our money is called the dollar, which is a word that's derived from the German that refers to a Spanish coin. And often the story starts there. It says new country, new money, and it starts with the assumption of an American dollar. And the challenge is at the time, Jefferson, Hamilton, when they were writing about money, were aware that this coin existed. This is a silver coin called the dollar. They were aware that it was a dominant form of money in the Atlantic economy. They were aware that when they said our money is the dollar, they were not inventing a brand new American dollar. They were in fact adopting an existing silver coin as the basis for money in the United States, the basic unit of account. That coin was current in America as legal tender until the 1850s.

you have to get the moment of transition right. We didn't just say new country, new money. I'm very skeptical now of monetary sovereignty. I don't think that you can assume a country has sovereignty. I think it's got to be hard one over time. But then, you know, I really had a problem because that coin was already referred to by the founders as the ancient dollar. And

then I had to go back to the invention of that silver coin in 1517 or 1520, arguably. So That became a profoundly different book. It became a much longer. I took three months of book leave to write this book and it took me seven years to finish. Yeah. At one point my son said, dad, I think it's going to be a good book. And I said, thanks buddy. Why do you say that? And he said, he's just been working on it for a really long time.

It sent me back to school. I'm getting a PhD in financial history now It really sort of changed the arc of my life changed what I do But really honestly writing this book is all my children remember of me since they've been forming memories I've been working on this book. So I'm glad that it wasn't what you expected I guess my point is it wasn't what I expected either I just kept on pulling on a thread to sort of figure out, you know, why did we have what we had in 1971 in 1913 in 1862 in 1776 and I kept on pulling at a much longer story that was much harder to tell. I think we got there in the end. I think it's a really, really good, but very original as well. And I've actually had like Ken Rogoff on the podcast. I've had green on the podcast as well. And so hence I was kind of situating what I thought your book would be between two of them in some ways. Listen, I don't have a prayer of competing with those guys. I always talk about there are things I disagree with Barry Eichengreen about, but it's like I disagree with Willie Nelson about songwriting, right? We rely so much on his work for a lot of what we think about in terms of currency transitions. Ken Rogoff has been a policymaker and advising policymakers for longer than I've been alive. Those are two books that are just filled with a rich history of scholarship and, you know, active practice. In a way, I had to sort of hide in the shadows those books and say, okay, well, I can't really compete with your account of 1974 to today. But what I can do is go back and write a history that you, you know, that was not part of this assumption of monetary sovereignty where the United States has its own money and we assume that it does and it goes from there. Yeah, maybe we can start with the earlier.

period then, you know, because you say it's not just since the formation of the US independence, 1776 goes back before that. And it's like 500 years of history there. So I mean, what is the origin story of this coin of this dollar or the ancient dollar? It was cool. Well, the short version of that story is that there was a valley in Bohemia called Jochimstall. St. Jocham's Valley in

German. The coins from that valley became known as Jocham's Taller. You know, coins from that valley and then that got shortened in German to Taller. And then in Dutch that became Daalder and then in English that became Daalder. But I think it's important to point out we're not, we're not describing the history of a word, we're describing the history of a coin. Not all coins become international.

And I think the important thing about the dollar is that it began as an international coin. There's this assumption that when coins become, you know, dominant money, that it's the coin of a country, it's the coin of somebody's realm that then expands and becomes an empire of a certain kind of money. The dollar, because of the way it started, it wasn't really the coin of anybody's realm. So Yahum's tall, they didn't start digging for silver there until 1516, 1517. The person who was nominally in charge of the mine didn't actually have title to it. His name was Stefan Schlick. He was the count in the area, but he held that valley in entirety with his brothers and his cousins. So he just decided to start digging there.

It's very expensive and complicated to dig for silver. Silver in the ground is not silver in your hand. It takes a lot of capital. And he borrowed a structure that had been in existence for about 150 years in Germany and in Saxony in particular, where people put together as a kind of joint stock company to dig silver out of the ground. Really expensive to do because not only do you have to pay miners to dig, you've got to build these massive machines out of wood that get water out of the mine, that get ore out of the mine, that stamp the ore into dust so that you can, so you can then refine it. This is really difficult stuff. And so Stefan Schlick did not know how to do this. And he brought in Saxons from over the border into Bohemia to do it for him. So all of this was not according to Bohemian law. Bohemian law said, Any silver in the kingdom has got to go through the main mint at Kutnohura, and that way we can control it. So mints aren't just ways of making coins, they're ways of controlling silver and gold. So when all the silver went through that main mint at Kutnohura, the king got his cut and then immediately turned around and paid his cut back to the rest of the Czech lords who had lent him money. So this is complicated arrangement where the king gets his and the lords get theirs.

This sat outside of that, and they may have known they may not have known it may have been really convenient for the king to sort of not talk about this mine, but as a result of its sort of dubiously legal status, they weren't producing a whole range of coins. It's much more expensive for mints to produce little coins than it is for them to produce big coins. And so historically, it's always been a challenge trying to get mints to make little coins for daily purchases because per unit of value, little coins are way more expensive to produce. This meant because it was only serving the Saxon investors didn't produce any little coins. It just produced big full-bodied silver coins. If you were a Saxon investor at the time, what you expected to get from your investment was a dividend payment in the form of a big silver coin. So, you know, it's not as if the coinage of Bohemia became international. It's that this one mint that was an exception paid its investors in big full-bodied silver coins. Those silver coins ended up in silver markets in Leipzig, and they began to spread up into the Baltic. They turned out to be really useful for one thing, which was getting merchants to pay each other.

So this coin was worth a lot of money. It was about two weeks laborer, or I calculated 21 pounds of bacon. So, you know, you couldn't use it to buy bread. You had to use it for clearing large transactions. And so that's why you get copies of this coin. You get Danish and Swedish copies of this coin very early. Lots of German cities, Hamburg, Lubeck in the north are starting to copy this Jachm's taller and they're minting dollars of their own or tollers of their own. That's why you get Dutch copies of the to- That's why within a century, by the early 17th century, you get mentions of the dollar in Shakespeare. We think of the dollar starting with America 150 years before the founding of America or more, depending on when you think he wrote his various plays. You've got somebody in the Globe Theater using the word dollar in a way that is clear to any groundling sitting there watching the play. It's in the Scottish play and it's in the Tempest.

So this was well outside of the normal pound shillings and pent system of England at the time. It was a different coin from a different place that came from the Low Countries to buy cloth or to buy wool. So this is the coin that washed up on the shores of the American colonies in the 17th and then 18th centuries. And they knew exactly what it was by the time of the American

colonies, by the time of settlement on the US East Coast. that coin had been taken over by the Spanish. So when the Spanish discovered silver and then figured out their brutal Mita system in Bolivia, what is now Bolivia, to extract silver, you can be the Holy Roman Emperor.

Charles V was and lord of new vice royalties in the Americas. And you still cannot control the global silver markets. He had silver. It was coming over all from plunder very early before they were even mining it really. And it had to be minted into the form of this silver coin that was already moving out through Portuguese ships from Antwerp and into trade with India and China. So this form of coin becomes very dominant. And anybody who has silver has to mint it into this coin. And it's the Spanish. coins that are immediately recognizable to the English as dollars. They absolutely knew at the time this is a copy of this old Bohemian coin that show up in America. So when Hamilton and Jefferson are talking about the dollar to them, it's very clear what a dollar is. It's not a brand new unit of measure. It's not a brand new national currency. It's this coin that they get from at the time, Mexico, you know, that has this rich ancient history that they knew.

There were, at the time in America, there were also ricks dollars, which were copies of copies of copies of that old Bohemian dollar that were made by German cities and states in the Holy Roman Empire. So, you know, this history isn't hidden. It's not like I discovered Stefan Schlick, although I did use research from a newest Buddhist named Peter Vorol, who's Czech, who really made this argument that it was the illegal nature of the mind that made these big coins pour out of it. For me it was a question of emphasis. It's choosing to prioritize a global story of money over a national story of money. And so you end up in 1776 with a different challenge. It's not that a new country has to form its own money. It's that a new country has to adapt to a foreign standard, that it doesn't control and has to import. And this adaptation process takes about 70 years. And just on that, presumably at the time of the formation of the US.

states or the coalition of colonies and it is very important that we're competing currencies presumably that there probably was pounds and currency cities probably issued credit or notes some kind of picture with the colonies. Yeah, I think economists in general do a bad job of describing

currency systems. We often describe currencies as if they're fungible. It's just one. it's the same currency. But any currency system has a lot of different elements. Historically, they had some silver and gold, a lot of book credit, a lot of handwritten promissory notes. So when you look at the colonial system, what you had was different colonies taking the old British system or English system of pounds, shillings and pence and adapting it to their own use. So they had local bookkeeping currencies that were depreciated, not severely, but lightly depreciated from the English pounds, shillings and pence, sterling.

So merchants tended to work, keep their books in sterling because they were buying things from England. And the instrument they tended to use was a bill of credit. This was just a, or a bill of exchange. It just, this was basically a check that you could, somebody could write that cleared in London. So if you had something to sell to London, you sold it for a bill of exchange. And then when you wanted to buy something for London, you could ship this bill of exchange over and it would pay the merchant who was going to ship something to you. All of this was bookkeeping money. It was written down. The bill of exchange is very old technology. We can date it back to Italy in the 14th century and arguably the Middle East before that. The problem was the colonies didn't have their own domestic source of gold or silver. So they're relying on foreign coins. A lot of these foreign coins end up being Spanish coins because the colonies, it's very hard for Americans to remember this now or sort of recognize this now. They just weren't that important economically. The Southern colonies sold tobacco to London and Glasgow and the Northern colonies sold wheat and wood and hogs and cod south to the Sugar Islands of Jamaica and Barbados.

In return, they had some access to these silver coins, these Spanish pieces of eight. These are copies of the dollars. So what they were referred to as a Spanish mill dollar. So those coins circulated, but they weren't enough for small purchases. And they also weren't small enough for small purchases. And so you end up with various systems in the colonies. Promissory notes were very, very important, literally just an IOU. You would write out an IOU to someone by hand. Earlier than in England, those passed as a transferable currency. So I could write a promissory note to you. and you could then use it, you could counter sign on the back and use it to pay a bit

debt to someone else. That legal practice came to the colonies earlier than it did to come earlier than Parliament blessed it for England.

And so you also have lots of book credits, lots of ledgers where people are basically just marking down debts of what people owe them, tradesmen, barkeepers. And then these debts are trading back and forth like currency. And so what you have is, you know, overlapping systems. You've got a sterling credit system that's used to buy and sell things with England. And then you've got a local system of currency that's actually depreciated against sterling that's used to attract silver dollars in and record all these book credits. You've also got a different currency. currency for every colony. It's called shillings, but it's understood at the time that a Maryland shilling is not the same thing as a Pennsylvania shilling. Of course, there were no shilling coins. We're really just talking about shillings written down by a bookkeeper. So this system sounds chaotic, but one of the things that I think is important to recognize is that people in the past understood money a lot better than we do now. So a lot of things that just kind of work in our system. We've been working really hard to make sure that banks work, bank transfers basically work, although they work better in the UK and Europe than they do in America.

So we don't have to think about what our money is, which allows us to abstract away from it and say, let's just assume money. And then we're going to talk about how the rest of the economy works. They couldn't just assume money in colonial America, and for much of American history, the 19th century as well, which meant that when they talked about money, very sophisticated debates that we've got to read into now to understand. There's lots of stuff that I had to learn about before I could understand the. things about money at the level at which they were talking about them. A lot of these colonies, they printed their own shillings. And when they printed their own shillings, they had land banks to give those shillings value. They had sinking funds, which meant that they would take in taxes at their ports in silver and gold, and then buy those notes back to prop up their value. They would also take those notes back for taxes. A lot of different ways in which they had to work very hard to give those pieces of paper meaning everybody at the time. I've been at the American Numismatic Society this week looking at as many old colonial notes.

They're called bills of credit. These are printed colonial shillings. As I can get my hands on, just to understand how they were used and what people thought of when they saw them. There was an explicit financial promise on the face of every single one. And it referred to an explicit law that laid out exactly financially why these things had meaning. So I think when we look back to how many worked in the past, we have to remember that citizens understood more about money, then we normally have to now, which means that as the author of a book about the history of money, you gotta do a ton of explaining about stuff that was perfectly obvious to everyone back then. And you mentioned on the promissory notes, there was a law mentioned, at what level was the law? At the city level, colony level, federal level. It was the colony assembly level.

All the colonies relatively early on. There are lots of theories about this, about how this led to revolution. But the colonies had a local tradition of participatory democracy pretty early. And it was pretty rowdy. And they had a lot of independence to come up with their own laws. And so laws in Maryland and Massachusetts in the, man, I got to check this cause I don't know the date offhand, but I think as early as like the 1670s, we're already saying promissory notes could be transferable if you counter-signed them on the back. And you begin to have these promissory notes that are working as a form of currency that doesn't you know Parliament doesn't bless that in England until the early 18th century I want to say 1702 relatively late. I gotta check those dates I don't have them in front of me, but we're not off by much So you know that to me says England had a way of making currency work for itself The English penny, traditionally, was pretty trustworthy for a very long time. They had the recoinage that John Locke fought about. But the Bank of England was producing notes. You had country banks producing notes. This was historically a fairly well-regulated system. But all of the banks and the Bank of England, which had a charter from parliament and the Mint, none of those privileges were extended to the colonies.

There was a mint in Massachusetts for a very short time. The mint shut it down. The Royal Mint. Mara Caden is a historian who's written about this. The Royal Mint was very jealous of its prerogatives and did not want any local minting to happen in the colonies to fit their own purposes. So

England both couldn't be bothered to make sure that there was currency in the colonies and also kind of didn't want them to have the freedom to do it. And in terms of the federal side or at the national level, was there a certain point where the federal level sort of said, this is the dollar now or this is our national currency. Yeah, I think the period between the revolution, the end of the war and the Constitution, the money there is understudied. There's a story that economic historians tell where there was the Constitution and there was a bunch of legislation that followed very quickly. And they tend to see this as a mopping up operation. You know, if the money was chaotic, it didn't work. It was inflationary. We had to sort of like house clean before we could create the money for a new nation.

I don't think it was that simple. After the revolution, the states, the brand new states, returned to their colonial practices of printing their own notes. And it kind of worked. There was inflation during the war. It was very hard to collect taxes during a war. It's very hard to make a currency system work. But after the war was over, they had best practices. They've been printing their own shillings for a century at that point, almost, and they went back to it. And it kind of worked. It wasn't inflationary. There's this hilarious consistent problem, which is that For about 50 years, the only truly inflationary notes were coming out of Rhode Island. So, you know, Rhode Island is the reason why we can't have nice things. I just went up to Brown and gave a talk about that. They're like, no, not Rhode Island. And then they were like, yeah, it kind of makes sense. If you were from America, you would know the Rhode Island reference. It would make sense to you if you know it. Anyway, so I'm trying to think of the English cognate to Rhode Island. York is the reason we can't have nice things. So.

The constitution forbade the states from doing this, right? So the states knew how to print their own shillings. It's essentially a very sophisticated way of borrowing from your own citizens when you pay them in a shilling note. Constitution basically forbade them from doing this. There's this seemingly arcane provision of constitution that says states may not print their own bills of credit. The founders didn't really like bills of credit. They didn't like them because they were lightly inflationary in a way that worked for farmers. And they were worried about a lot of freedoms that the open participatory democracies of the post-revolutionary period were taking. And

one of them was printing their own notes. So because states couldn't do it anymore under the Constitution, we gave the job of the banks. And so the fight between shillings and dollars is a little bit the fight between local control of money and national control of money.

So the decision in the Constitution was a little bit to prevent states from making their own money and a little bit to adopt a national form of money that was preferred by merchants. Merchants who were Atlantic facing wanted to use the dollar. They had access to these silver dollars from the Atlantic flows of silver. And so they could afford to charter merchant banks and use silver dollars as a reserve in these merchant banks. These were things that the states couldn't do, which meant they had a different kind of money that worked better for farmers. So I don't think that the state system of money was inherently chaotic. And in fact, it wasn't really inflationary anymore by the time of the Constitution. What we did was we gave the money to the banks. We said, we basically agreed as Americans, the banks are going to create all of our notes. They're going to create our circulating currency.

There was a lot of learning to make that work too. And that process wasn't any less chaotic than the process of having the states do it. And in fact, you've got two banks chartered America in 1789. You've got several hundred by the panic of 1837. It was a long process of trying to make banks work for farmers as well as they do for merchants. Farmers need different loans, trying to make sure that you get the right mix of large denomination bills and small denomination bills. This is an ancient problem that doesn't change when we start having the banks make our money. And the last problem is trying to make sure that banks are safe. There's this history in America of massive bank failures, 1819, 1837, 1857, 1873, 1897, 1907, 1932. Each one of those events is a catastrophe that followed by a depression. And each one of those events inspires something we take for granted now in terms of bank.

regulation. The idea that we have comptrollers of the currency that are responsible for banks, the idea that we have a federal reserve that's responsible for printing its own bank notes. You know, when banks sort of got out of the business of doing it themselves, the idea that we back our

physical currency with federal debt, the idea that banks have to report what's on their balance sheet, that they have to hold a constant reserve. These are all ideas we take for granted now that every single one of them followed a financial crash. The last one in 1932, Produced very quickly legislation national legislation for federal deposit insurance. I think that's incredibly important I actually think that federal deposit insurance is more important for the definition of the dollar than the Federal Reserve You know banks have been creating their own dollars for hundreds of years or rather 120 years by the time of the Great Depression You know they hadn't really wanted deposit insurance for the same reason nobody wants insurance because you don't want to pay for something You don't think you're gonna have to use but after the depression during the after the new deal we get this vast pool in America of safe insured bank dollars. To this day, nobody else has that. Nobody's got the system of federal deposit insurance that we do. The Eurozone doesn't have that. They have to offer deposit insurance on their own country by country because Germans don't believe that Europeans should be allowed to have nice things. So I think it's the end results of struggling with the banks for modern 40 years that gives us this system that we have today. But I don't think we can take it for granted. It was a decision. If the Constitution had gone a slightly different way, and it could have, states could have been printing their own dollars still today. We could have different currency zones in the South and in the North to reflect different economies. And one of the challenges of having a national monetary policy is that you've got different economic zones that need different monetary policies. We had that and we decided we didn't want it in America.

So I guess we're listening to you there. It seems almost like the dollar, at least our current form of the dollar is almost like a history of the bank system or making bank credit safe over the last 100 years or so. I think so, yeah. Economists, if anybody took at university a beginner level economics course, what they learned was that money comes from the Federal Reserve or the Bank of England and that the banks just sort of do something to it. But that doesn't seem to be the story. The story is, the way I understand it is the banks make our money. The economist for this is endogenous credit theory. But when a bank makes a brand new loan, it issues brand new

deposits. It doesn't get those deposits from anywhere. It doesn't take them from the Fed. It just creates them.

And the reason they have value is they're balanced by the asset of the loan on the other side of the balance sheet. And there's a ton of regulation making sure that the bank is not taking stupid risks when it makes loans. So yeah, I think the story of our currency now is the story not of federal institutions, but the story of lots and lots of local banks working within a regulatory apparatus to produce reliable dollars. Actually, one event we didn't talk about was a civil war. I mean, did that accelerate? or did that have an impact on the formation of this system? I think it nationalized the currency in a way that had been hard to do before. The states, until the Civil War, there were only state-level bank charters. So every bank answered to a state. The states had different regulatory regimes and different quality money. The Civil War, at least for the Union, got state banks out of the business of printing their own dollars.

Sam and Chase Secretary, the Treasury hated the instability of state banks. So we put a 10% tax on the notes. You can issue notes, but it's going to cost you, and they just stopped. And so bank notes became, you could only print a bank note if you had a national bank charter. So in America, we're used to the first and second state banks of your town and the first and second national banks of your town. These reflect different charters. So a national bank charter during the Civil War gave a bank the right to print notes. Yes. The United States also, the union government printed greenbacks, which were just direct, treasuring obligations. The closest thing we've ever had to pure fiat money in the United States. I think the far more enduring change in America was not the greenback, but these national bank notes that had to be backed by federal debt and could only be produced if you had a national charter, were far more important and far closer to the system that we have now. What you have with the Fed is a series of 12 regional banks chartered by Congress, taking over the job from the national banks of printing physical currency because the profit wasn't that great for national banks anymore because we made physical currency so safe that there wasn't really a risk premium in issuing it. So the Federal Reserve is not the invention of money. We learn from economists that money comes from the Fed. The Fed is just an institution that we clamped on to a lot of existing practices,

because national banks were getting out of the business of printing their own notes, and it was hard to get notes out to rural banks in a crisis. So the Civil War was important, but we tend to, as Americans, look back at the Civil War and think fiat currency greenbacks the beginning of the current system. I think that's really misleading. We do not have a fiat system. In fact, I hate the word fiat.

Because when we say our money now is fiat, we make it sound like magic, and we rob ourselves of the power of analysis to understand what banks are doing, how they work, how they produce our money. What really changed after the Civil War was because state banks got out of the business of printing physical banknotes, they just decided to use deposits instead. So when you got a loan from the bank, instead of the bank handing you bank notes, they marked up your deposits. And we came up with ways, you know, checks of transferring deposits from one bank to another in America. We basically swapped bank notes for bank deposits. That's still the system we have today. It's still the system you have in the UK. You know, the only way we get new... In fact, the Bank of England wrote a paper in...

2011 that was sort of stating the obvious, but it was hilarious that the obvious needed to be stated, which is the thing we learned from economists. It's a hilarious paper. The thing we learned from economists, which is that money comes from the central bank and is then sort of shared with us by banks through the credit multiplier is not an accurate description of how it works. Banks create brand new money when they create brand new loans. And so that Process, I think you're right to point out the importance of the Civil War, but I think, again, we take the wrong lessons from the Civil War. It's the national banknote system that we have to look at, and not this temporary facility of greenbacks for the Treasury prints its own notes. That's a great point. Now, if you move to the more modern period, the post-war period, post-Second World War, the dollar where the Bretton Woods arrangement dollar was linked to gold, there was capital controls, but then you had the development of the so-called Euro dollar market, which is not.

the euro as in we understand it now is this kind of offshore dollar market in London that's developed and elsewhere. What was the significance of that to that market and in some ways it was kind of if you look at the overall arc

of your story, there's a global dollar currency from 500 years ago which ended up kind of belonging to the US and then the offshore dollar market is almost like the US then losing control again. I think that's a really good description of it. And in fact, I think I only understood that after I was done with the book. You know, there's this process of the United States, there's this silver dollar, then the United States makes it domestic. By the end of the depression, the beginning of World War II, we have a purely domestic currency. We actually have monetary sovereignty in the United States. And then what happens in the 50s and 60s is for a lot of different reasons, it's very convenient for banks in London, to do the same thing banks in America were doing, which is just mark up their balance sheets with brand new dollar loans. This was not federal policy. And in fact, hilariously, the Fed and the Treasury kept on sending people over to London to figure out what was going on. Paul Leinzig was this sort of legendary currency and sort of city understander for the Financial Times in the 30s, 40s, and 50s. In the early 60s, he starts asking about the practice of euro dollars. He just goes to friends in the city and says, what's going on? And they say, don't tell anybody what we're doing because they don't want anybody to know. They're just making up their own dollars. If you have a fiat understanding of money, it's very hard to sort of see what's going on. But if you ban in the idea of fiat and you see that banks are just.

printing there are just making up their own currency. And it's not a huge stretch to say there's no reason inherently why banks in London can't make loans in dollars. So you've got this vast pool of American deposits that serves as a reserve. Companies in Europe sell things to Americans. They're paid with American deposits. What people at the time would have predicted and what they did predict was that those deposits would have immediately gone through a complex process where at the end, a foreign central bank presents them at Fort Knox in America. in exchange for gold. That didn't happen. So the fed's trying to figure out why this isn't happening. They said Fred Kloppstock, head of their international payments division over to London. They said, you are not gonna believe what's going on, but people are just trading access to American deposits. Posit start coming back to Fort Knox. They're just useful as currency for banks in the UK. And there's all this knowledge, financial knowledge sitting dormant in the city, just like waiting, waiting for a new thing to trade after the war.

In a way, Keynes wanted London to remain a financial center during Bretton Woods. He frantically negotiated to keep the special status of the city. He lost that battle and the stress of it killed him. But the city in its own way actually won because it became the place internationally where you created and traded dollars offshore. So then over the course of the 60s, there's this discussion trying to figure out are euro dollars brand new? dollars or they just claims on existing American dollars. Finally, Milton Friedman in the late 60s steps in and goes, the math doesn't work out unless they're creating brand new dollar loans over there. We've got no visibility in what's going on. If you don't know something's happening, you can't collect data on it. And it turns out internal documents, the Bank of International Settlements come to the same conclusion, which is that there's brand new dollar creation in these markets. I took that whole chapter about the euro dollar, about the offshore dollar markets and centered it around Andrew Brimmer. He was the first black governor of the Federal Reserve.

a fascinating guy. He deserves his own biography. The son of sharecroppers, just a man of such extraordinary ability that wherever he went, it was immediately recognized that he needed to be promoted. So he ends up at the University of Washington and then there's a fight over him to see whether he's gonna go get his PhD at Berkeley or at Harvard. Harvard wins, they send him to the commerce department and then he goes over to London. Again, one more emissary from the U.K., from the U.S. trying to figure out like what is happening. over there. And the chancellor, the ex-Chakura, actually gets in touch with his counterpart in the US and says, the only person who understands what's happening over here is Andrew Bremmer. You should send him to the Fed. And so that's in fact, exactly what they do. So he's the Fed and he begins to realize that this pool of brand new euro dollars is so vast.

It's beginning to dribble back into America. American banks are going to London to borrow in dollars to then lend back to their their head offices in Philadelphia or in New York or anywhere. And that's beginning to actually make it difficult for the Fed to do its job. Right. So Brimmer comes back and he says, again, one of the series of people who says, you're not going to believe what's happening over there. He goes over there. He talks to the Americans and they're like, please don't tell anyone what we're doing. And

then he goes to the English in the city who were like, oh my God, please get the Americans out of here. They don't know what they're doing. And, you know, and he can't get this.

process the sort of institution of Euro dollars restrained in any way. He can't get the Fed to recognize that it needs to make sure that the influence of Euro dollar creation abroad isn't affecting American monetary policy. I think he's kind of a tragic figure. He saw what was going on. He tried to figure out a way to give America back its monetary sovereignty over these dollars that were being created abroad. And in the end what happened was it's just too convenient for everybody. It's too convenient for the English. It's too convenient for the Germans. It's too convenient for the American bankers. It's too convenient. for American policymakers to have this pool of dollars abroad. And they just allow it to continue to exist. And Andrew Bremmer quietly leaves the Fed in the early 1970s. I think he was pushed out, although I can't prove it. And he was kind of a forgotten figure. There's just not a lot written about him. When I went to see his archives at Harvard Business School where he taught, again, insanely capable man, when you open those folders in the archives, they go, right, nobody has touched them.

I'd love to look into him a lot more as well. And if we just kind of round off with some perhaps contemporary version of your dollars, stablecoins, I mean, what's your take on where stablecoins fit into this overall history? I just don't think there anything new. You know, I get frustrated talking to crypto people when they describe the novelty of stablecoins. When I look at stablecoins, I just see a bank. It's taking deposits. It's using those deposits to buy safe assets. And then the stablecoin is a liability on the balance sheet of a private company. That sounds a lot like a bank to me. And what we're doing in America, I think that what we're doing that's dangerous is we're giving them special regulatory status. We're letting them be regulated at the state level. We're not requiring them to have deposit insurance. All these things make it cheaper to produce the stablecoin than it does to produce the deposit.

And so I think the appeal, the allure of stablecoins is that they're lightly regulated banks. We've done that before. We sort of know what happens. I can't tell you when, but I can tell you there will be a stablecoin crisis. There

will be a bunch of poorly regulated stablecoins that sort of fail. And Americans are going to have to step in through the auspices of the Fed to buy them or the FDIC to protect them. And we're going to socialize the cost of all of those expenses that they should have been paying the whole time. a higher regulatory burden and deposit insurance. But there's a long tradition in America of something that's like a bank saying, we're not a bank, we're Schbank. So you don't have to regulate us like a bank. And then everything fails. And it turns out it was a bank the whole time. So it's not that I'm skeptical of crypto. It's just that I don't think it's anything new. I think we've seen all these things before. They're crypto arrangements that look a lot like equities. And we know how to regulate equities.

We did that in the 30s. We have the SEC. You know, Bitcoin, I don't know, looks a lot like a commodity. And if you want to hold a commodity in your portfolio, sure, they go up and down in value, but that's all it is. The idea that Bitcoin is going to become money, to believe in that, you have to ignore all the financial history in which people create their own money through credit arrangements. They're going to do that no matter what. You cannot stop people from creating credit with each other and using credit as money. That's just what people do. They come up with their own local arrangements to make money work for them. And once you recognize that they're going to do that, then you have to start to think about regulations. Then we end up looking at a system pretty much like the one we have already. So I guess my take on crypto is that it's not that novel. I wish we'd stop pretending it's special.

And that's a great way to round up the main part of our conversation. Now, I do like to ask all of my guests that wanted to kind of more, more personal or micro questions. You know, what is, we do have some youngsters listening to this podcast as well. Many of them are graduating this year. Many of them sound very anxious about the job market, you know, graduate. And what advice do you give to people who come to you to ask for advice on jobs? I don't know how to tell people which job to pick. I do know that I can tell them, you don't yet know what you're going to be doing. And what you're going to be doing is going to change a lot over the course of your life. I graduated with a useless degree in German literature. I worked as a translator of German plays for a while. There is the market

demand for that that you think there is. And my day job was in reinsurance. And that sort of helped me begin to understand finance. And then I was standing, I'm blocking half away from the South Tower when it fell, because I worked in reinsurance. That whole industry was downtown.

And that, as it did for many people, prompted a period of reflection about what I wanted to do, and I decided that I wanted to work as a journalist because I liked the work of nonfiction. I liked the puzzle of trying to figure out what's true and what's not true and turning that into a story. And so I sort of clawed my way into journalism at a relatively late age. I was 30, 32 when I got into it. When I finally got a job, I was 32, and I finally got a job at The Economist. I started an American public radio. And I think if you want to be at a job like journalism, for example. One of my answers is, honestly, don't quit. I know that sounds cheesy, but there are lots and lots of reasons to quit. There are lots of things that don't make sense. There are lots of disappointing outcomes, particularly in journalism. Papers start and then they fail, or a paper will be bought by a billionaire and then the billionaire will lose interest. A lot of journalism is just finding the right billionaire at the right time. I wish that weren't true, but it is in fact true. And what that means is, just don't quit.

Really that's and I've given literally I've given that advice to rooms full of journalism students because It's a weird complicated business and you have to fall in love with the work of figuring out What's true and turning what's true into a story and if you don't love that work You're not going to be happy in journalism anyway And if you do love that work, you'll just keep doing it and find someone to do it for man I wish I had more specific advice than that, but that's great advice actually. Yeah Yeah, when I look back at my own career, it really is sort of figuring it's just dancing from opportunity to opportunity, consistently staying with a conviction that I really like the work of nonfiction. Yeah, that makes a little sense. Yeah, I went back to school at age 47, you know, and that's been amazing. I really like I'm so grateful. You know, part of this has to do with advice about marriage.

When I was at Bloomberg, I was getting up at 3.30 in the morning to be on TV to pay for the family while my wife finished her medical training. And then, you know, that was really a really stressful time. Marriage is about

trading things back and forth. And a lot of the people who are looking for advice cannot think of their own careers in isolation. You know, if you want the beauty and stability and reward of a family life, then you have to figure out whose turn it is. And so one of the things that my wife and I painfully realized because there was absolutely no role model for us. This is not the way our parents had operated. You got to trade back and forth. You got to figure out whose turn it is when. And then you got to learn that it is about taking turns and not making everybody perfectly happy at the same time. So she finished her medical training and then I got to do this amazing thing where the family was stable enough when she went back into medical practice that I could.

take a massive risk on going back and getting a PhD with a bunch of 27 year olds and learning brand new things and reading hundreds of books that have made the world make more sense to me. I love that opportunity. And that opportunity came about because my wife and I have figured out over time and I don't want to pretend that it was easy to build the kind of compromises in a marriage that you need. I think I would be It would be wrong of me to give advice to a young person and not include that question of how do you manage two competitive careers in one happy marriage? That's the first time anyone's mentioned that. I've asked me that question for many, many years, and I think it's a great, great point to make. Now, just to kind of round off the conversation, the book Almighty Dollar, how can people get hold of it?

When did it come out and so on? Well, so it came out May 19th. It's still in hard cover. You can get it wherever books are sold, ordered on Amazon or if you hate Amazon, you can order it on, I think it's bookstore.org. If you actually search for it at Penguin Random House, it'll give you a million links so you can pick the bookstore you want. And gosh, if you don't want to pay for it, please go ask your library to stock it. I would be so grateful to just have a library by it instead of you. And you can find me. I'm BH Greeley on X, G-R-E-E-L-E-Y. And I'm BH Greeley. Same thing on Blue Sky. And if you Google me, you can find my email. And please send me an email. That's fantastic. Well, once again, thanks a lot, Brendan. Congratulations on the book and keep up the good work. Thank you so much for having me. This was great.

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